

Hershey Business Objectives and KPIs Hershey is aggressively transforming from a traditional chocolate manufacturer into a **"Leading Snacking Powerhouse"** through its new **"ONE Hershey" commercial model**, which integrates its sweet, salty, and protein brands into a unified portfolio 1, 2. To offset recent macroeconomic challenges, Hershey launched the **Advancing Agility & Automation (AAA) Initiative**, a multi-year productivity program aimed at generating long-term savings by optimizing the supply chain and automating IT and manufacturing processes 3, 4.

For 2026, Hershey's primary KPIs include achieving **4% to 5% net sales growth**, **recovering approximately 400 basis points of gross margin**, boosting brand investment by double digits, and delivering an **adjusted EPS growth of 30% to 35%** 5, 6. From a sustainability and compliance standpoint, Hershey is also targeting a 50% absolute reduction in Scope 1 and 2 GHG emissions by 2030 and 100% polygon mapping of its West African cocoa supply chain by 2026 to meet EU Deforestation Regulation (EUDR) mandates 7, 8.

Context Within the Confectionery and Snack Food Industry Hershey's strategic shift is a direct response to a highly volatile and disruptive industry landscape:

- **Extreme Commodity Volatility:** The industry is battling record-high cocoa and sugar prices, which surged over 70% to 100% in recent years, severely compressing gross margins across the sector and forcing aggressive consumer price increases 9, 10.
- **The "Snacking Revolution" and Health Trends:** Consumers are moving toward functional, high-protein, and "Better-For-You" (BFY) snacks, a trend accelerated by the widespread adoption of GLP-1 weight-loss medications 10-12.
- **Fierce Consolidation:** The late-2024 merger of Mars and Kellanova created a massive snacking conglomerate, increasing retail bargaining power and forcing competitors like Hershey to scale their own salty snack and functional food portfolios to defend shelf space 13-15.

Red Hat's Initiatives with Hershey and Goal Alignment Red Hat is engaging with Hershey's Engineering and Architecture team (led by Jeff Ramsey) through targeted initiatives, including an upcoming on-site **"Tech Day" scheduled for April 16th**, to align our stack with their modernization and AAA savings goals 16, 17.

- **Immutable Edge Appliances for the "Connected Worker":** Hershey is standardizing on RHEL 9 and looking toward RHEL 10. Red Hat is pitching **RHEL "Image Mode" (Bootc)** to deploy immutable OS images as containers directly to factory floors 18. This supports Hershey's "Connected Worker" and "Digital Lean" initiatives by securing and standardizing edge manufacturing environments without heavy IT overhead 18.
- **Automated IT Remediation via Ansible:** Hershey currently relies on disjointed open-source Ansible and custom scripts 18. Red Hat is demonstrating **Event-Driven Ansible (EDA)** integrated with Hershey's Dynatrace and ServiceNow platforms 18. By automating infrastructure deployments (like load balancers) and ticket resolution, Red Hat directly supports the **\$300M cost-saving mandate of the AAA Initiative** by eliminating manual developer feedback loops 18.
- **OpenShift Fleet Consolidation and Database Modernization:** Hershey currently runs an oversized footprint of 12 OpenShift clusters dedicated almost entirely to MuleSoft 17, 18. Red Hat is actively working to consolidate this to roughly 4 clusters using **Advanced Cluster Management (ACM)** and hosted control planes to cut hardware costs 18.

Furthermore, Red Hat is positioning OpenShift as a **Database-as-a-Service (DBaaS)** architecture to help Hershey migrate 4,000 MS SQL databases and transition Oracle workloads off aging SPARC hardware, effectively eradicating massive technical debt and licensing costs 18.

Overall Account Ambitions of Red Hat with Hershey Red Hat's overarching ambition is to elevate our partnership from providing foundational OS and isolated MuleSoft endpoints to becoming the **central orchestration and automation engine for Hershey's hybrid multi-cloud environment** 17, 18. By proving the value of Ansible Automation Platform for enterprise-wide remediation, expanding OpenShift into mission-critical database modernization, and securing their manufacturing edge with RHEL Image Mode, Red Hat aims to be the critical technology partner that enables Hershey to achieve its AAA productivity targets and successfully scale its "ONE Hershey" Next Generation Snacking strategy 18, 19. We also aim to introduce **OpenShift Lightspeed** to help their developers securely leverage AI for operational efficiency 16, 18.